

Silverbrook CLO 2026-1

Offering Memorandum & Transaction Description

Fictional-document notice. Silverbrook CLO 2026-1 is a synthetic transaction created for RAG testing. All parties, dates, and figures are fictional.

1. Transaction Data and Capital Structure

Attribute / Class	Detail / Amount	Rating	Coupon / Spread
Issuer	Silverbrook Funding Ltd.	--	--
Collateral Manager	Silverbrook Asset Management	--	--
Closing Date	November 12, 2026	--	--
Target Portfolio	\$650,000,000	--	--
Reinvestment End	December 20, 2031	--	--
Class A-1 Notes	\$410,000,000	AAA / Aaa	3m SOFR + 1.55%
Class A-2 Notes	\$52,000,000	AAA / Aaa	3m SOFR + 1.85%
Class B Notes	\$48,000,000	AA / Aa2	3m SOFR + 2.35%
Class C Notes	\$35,000,000	A / A2	3m SOFR + 3.60%
Class D Notes	\$25,000,000	BBB / Baa3	3m SOFR + 5.10%
Class E Notes	\$20,000,000	BB / Ba3	3m SOFR + 8.25%
Subordinated	\$60,000,000	NR	Residual

The table above summarizes the core capitalization and identities of the primary transaction participants. The transaction is structured as a sequential-pay cash-flow CLO. Silverbrook Asset Management (the 'Manager') has broad authority to select assets and manage the portfolio under the terms of the Management Agreement.

2. Transaction Parties and Roles

2.1 The Manager

Silverbrook Asset Management LLC is a Delaware limited liability company specialized in credit-focused alternative investments. As Collateral Manager, they will manage the portfolio and provide administrative support. The Manager's duties include identifying eligible loans, monitoring credit quality, and executing trades during the reinvestment period.

2.2 The Trustee and Administrator

Meridian Trust & Savings, N.A. serves as the Trustee, Collateral Administrator, and Paying Agent. They are responsible for the safe custody of assets and the calculation of the monthly and payment-date reports. Their role is primarily administrative and fiduciary, ensuring that the priority of payments is respected as per the Indenture.

2.3 Legal and Regulatory Counsel

Legal counsel to the Issuer is Ashford & Gable LLP. Manager counsel is Reed & Vance, P.C. These firms have coordinated to ensure compliance with relevant securitization regulations, including risk retention requirements and the Volcker Rule.

3. Collateral Eligibility and Concentration

The portfolio consists primarily of broadly syndicated senior secured loans. An 'Eligible Collateral Obligation' must satisfy several conditions: (i) it must be denominated in U.S. Dollars; (ii) it must not be a defaulted obligation at the time of purchase; (iii) it must have a minimum rating of B3/B- from at least one agency; and (iv) it must not be a bridge loan or a structured finance security.

Concentration limits apply to ensure diversity. No single obligor may exceed 2.0% of the portfolio. The top 10 obligors collectively may not exceed 15.0%. Furthermore, industry-specific concentrations are capped at 12.0% for most GICS categories, with the exception of 'Software and Services' which is permitted up to 15.0% due to the Manager's historical expertise in the sector.

4. Structural Protections and Quality Tests

4.1 Overcollateralization and Interest Coverage

The Transaction employs a series of coverage tests to protect senior noteholders. The Class A/B Overcollateralization (OC) Test requires the ratio of the Adjusted Collateral Principal Balance to the principal of Class A and B notes to be at least 121.5%. If the ratio falls below this level, interest proceeds are redirected to pay down the principal of the Class A notes until the test is back in compliance.

The Interest Coverage (IC) Tests operate similarly but measure the ratio of available interest collections to the interest due on the senior notes. The Class A/B IC trigger is 120.0%, and the Class C IC trigger is 115.0%. These tests are measured quarterly on each Determination Date.

4.2 Collateral Quality Tests

In addition to coverage tests, the Manager must maintain specific portfolio quality levels. The Weighted Average Rating Factor (WARF) must not exceed 2,950. The Weighted Average Spread (WAS) must be at least 3.45%. The Weighted Average Life (WAL) of the portfolio is limited to 8.2 years from the Closing Date. Finally, the Diversity Score must be at least 62, reflecting a broad distribution of credit risk across distinct economic sectors.

5. Reinvestment and Redemption

The Reinvestment Period spans five years, during which the Manager can reinvest principal collections and sale proceeds into new Collateral Obligations. After this period, principal proceeds are used solely to amortize the notes sequentially, starting with Class A-1.

Optional Redemption is available after the 2-year non-call period. Subordinated Noteholders may direct the Issuer to redeem the notes in whole or in part (via refinancing). A 'Clean-up Call' is also available if the collateral balance drops below 10% of the initial Target Portfolio balance.

6. Risk Factors

6.1 Credit and Default Risk

Investment in the notes is speculative and involves a high degree of risk. The notes are limited-recourse obligations of the Issuer. The primary risk is the potential for defaults among the underlying corporate borrowers. Defaults reduce the principal balance available to pay the notes and may cause the coverage tests to fail, leading to an interruption in interest payments for junior classes.

6.2 Interest Rate and Basis Risk

The notes and the majority of assets are indexed to Term SOFR. However, 'Basis Risk' may arise if assets use different SOFR tenors (e.g., 1-month vs. 3-month) or if there are floors on the assets that differ from the floors on the notes. Changes in the SOFR rate will affect the yield to investors and the cost of funding for the Issuer.

6.3 Market Liquidity and Reinvestment

The leveraged loan market may experience periods of extreme illiquidity. During such times, the Manager may be unable to sell credit-risk assets or acquire new assets at attractive prices. This could negatively impact the diversity and quality of the portfolio. There is no guarantee that a secondary market for the notes will exist, and investors should be prepared to hold their investment until the Legal Final Maturity in 2038.

6.4 Subordination Risk

Junior notes (Classes C, D, and E) are subordinated to the Class A and B notes. In the event of a liquidation of the portfolio, junior noteholders will only receive proceeds after all senior obligations, including administrative expenses and senior interest/principal, have been paid in full. Subordinated Noteholders (Equity) face the highest risk of total loss of principal.

7. Reporting and Administration

The Collateral Administrator will publish Monthly Reports and Payment Date Reports. These reports include: (i) a list of all collateral obligations; (ii) a summary of all trades; (iii) calculations for all coverage and quality tests; and (iv) the amount of interest and principal to be paid to each class on the upcoming payment date.

7.1 Valuation of Assets

Assets are valued at their principal balance, except for defaulted obligations, which are valued at the lower of their market value or the applicable recovery rate. Market value is determined using dealer quotes or recognized pricing services. If no market price is available, the Manager may provide a fair value estimate subject to certain conditions.

8. Glossary of Terms

Adjusted Collateral Principal Balance: The sum of the principal of all assets, adjusted for haircuts on defaulted, discounted, and CCC-rated assets.

Controlling Class: The most senior class of notes then outstanding, which holds specific voting rights regarding events of default and manager removal.

Determination Date: The date, typically 8 business days prior to a Payment Date, on which the Calculation Agent performs all compliance tests.

Event of Default: Includes failure to pay interest on senior notes, insolvency of the Issuer, or material breach of covenants in the Indenture.

Weighted Average Spread (WAS): The average interest rate margin above SOFR of all floating-rate assets in the portfolio, weighted by their principal balance.

Weighted Average Rating Factor (WARF): A numerical representation of the credit quality of the portfolio, where higher numbers indicate higher risk.